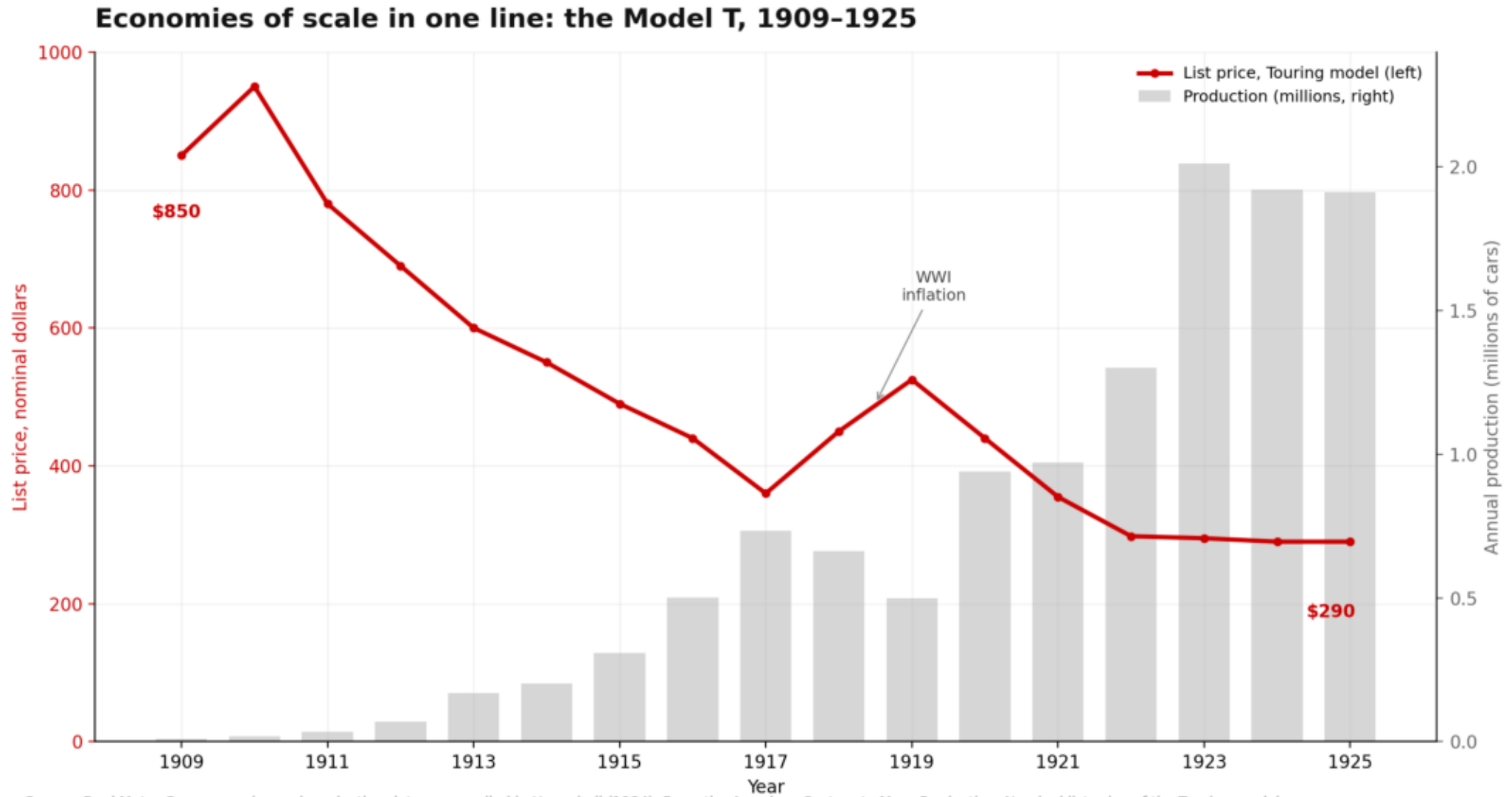


Class 9

Factories, Firms, and Scale

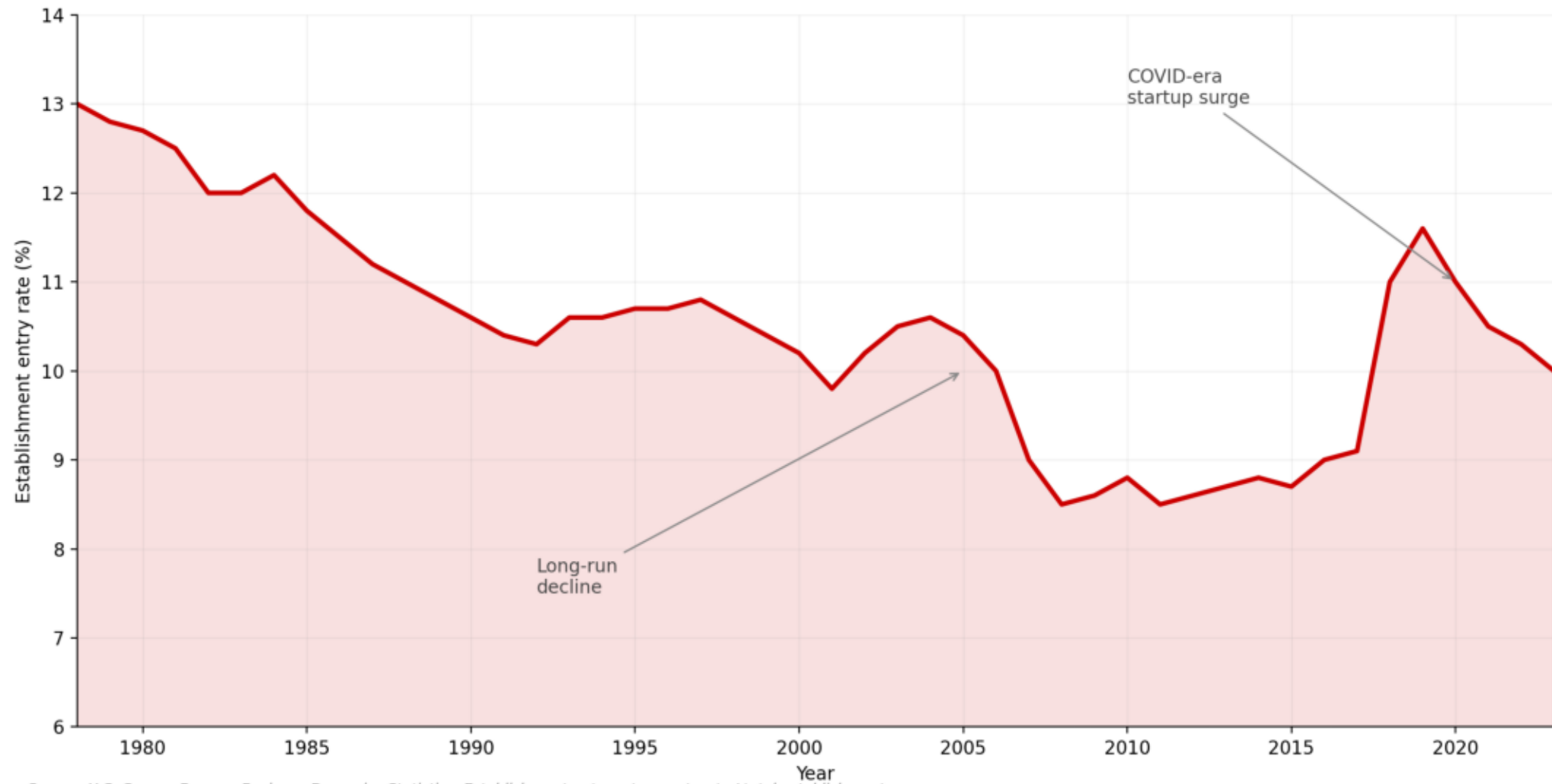
Part II — Building the American Growth Machine

Economies of scale in one line: the Model T, 1909-1925



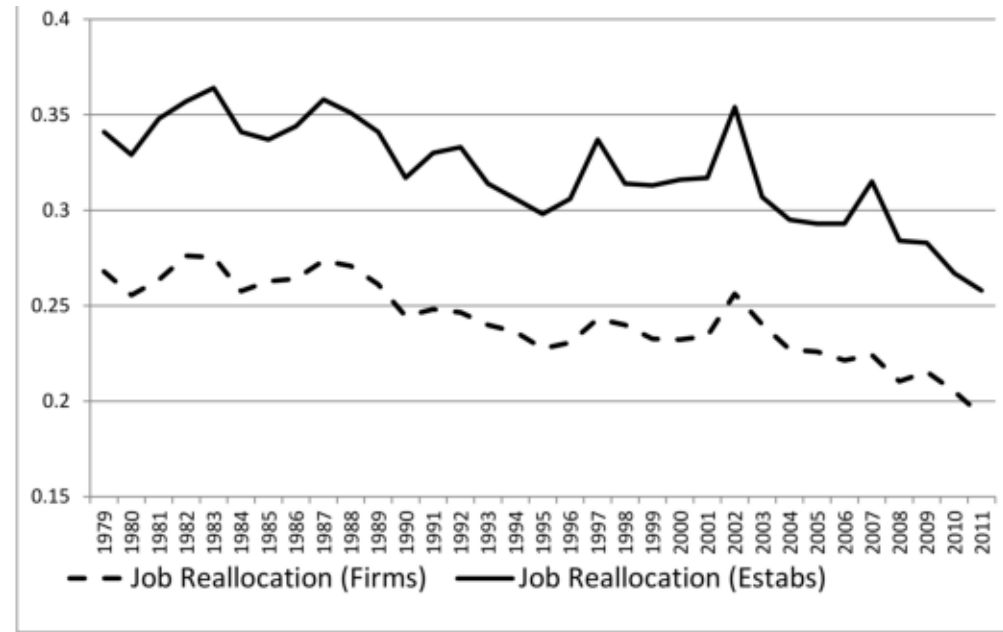
The declining U.S. startup rate

The U.S. startup rate has declined for four decades



Source: U.S. Census Bureau, Business Dynamics Statistics. Establishment entry rate = entrants / total establishments.

Job reallocation and the productivity dividend



Notes to Figure 3:

1. Both series pertain to the nonfarm private sector of the U.S. economy. The job reallocation rate across establishments is the sum of March-to-March absolute employment changes summed over entering, expanding, exiting and shrinking establishments, expressed as a fraction of employment. The job reallocation rate across firms is defined analogously based on firm-level employment changes.
2. The plotted series are from the Business Dynamic Statistics program and tabulations on the Longitudinal Business Database by Decker et al. (2014b).